

MARKET ANALYSIS

Flushing Permits Signal Developer Is Betting on Parking, Not Transit

A 60-unit Queens project with 145 parking spaces reveals a developer's underwriting of car-dependent demand over transit adjacency.

July 12, 2026 | New York YIMBY

A source-grounded Light Tower Insight.

The most revealing number in the permit filing for 133-34 36th Road is not the 60 residences or the 87,830 square feet. It is the 145 enclosed parking spaces.

A 13-story mixed-use building near the Main Street 7 train station in Flushing, Queens, with a parking ratio of 2.4 spaces per residential unit is not a transit-oriented development. It is a developer's bet that future tenants and commercial users will arrive by car, not subway. That choice carries capital implications.

Tony Chen of Realport Group LLC filed permits for the project, designed by Ralph Kowalczyk of Issac & Stern Architects. The building will contain 46,907 square feet of commercial space, 40,733 square feet of residential space, and a small community facility component. Demolition permits for the existing two-story structure were filed in April.

The parking count is the economic signal worth examining. At roughly 678 square feet per unit, the residences are sized for rental use, not condominium sale. A developer building rentals in a transit-adjacent location typically minimizes parking to reduce hard costs and maximize rentable area. Chen is doing the opposite.

My read is that the parking allocation reflects underwriting assumptions about the tenant profile and the commercial demand drivers in this part of Flushing. The area around Main Street is dense and transit-rich, but the immediate block at 36th Road between College Point Boulevard and Prince Street sits in a zone where car ownership may be a practical necessity for many households. The developer is betting that parking availability will be a leasing differentiator, not a cost burden.

That bet has a balance-sheet consequence. Structured parking in a concrete-based building in New York City runs roughly \$50,000 to \$70,000 per space. At 145 spaces, the parking component alone represents \$7 million to \$10 million in hard costs that a transit-oriented developer might have avoided. That capital is not generating rentable square footage. It is

generating an amenity that the developer believes will support higher rents or faster lease-up.

The commercial allocation is also notable. At 46,907 square feet, commercial space accounts for more than half of the building's total square footage. That is an unusual ratio for a mixed-use project in an outer-borough neighborhood. Most developers tilt heavily toward residential. Chen is signaling that the commercial demand in this corridor justifies a significant retail or office component, or that the zoning or site constraints made residential infeasible beyond 60 units.

For lenders underwriting construction debt on this project, the parking and commercial mix introduce risk layers that a straightforward multifamily deal would not carry. Parking structures have limited alternative use if demand softens. Commercial space in a mixed-use building in Flushing requires a tenant profile that may not materialize in the current leasing environment. A lender will need to underwrite the income from both components, not just the residential rents.

The timing of the filing is also worth noting. July 2026 is not a peak cycle moment for New York City construction financing. Construction loan spreads remain elevated relative to pre-2022 levels, and lenders are prioritizing sponsors with strong balance sheets and pre-leased commercial components. Chen and Realport Group will need to present a credible equity commitment and a clear leasing strategy to secure a construction loan at terms that make the project feasible.

The open question is whether the parking and commercial square footage will prove to be a competitive advantage or a structural drag. If the surrounding blocks see continued residential densification and the 7 train remains the primary commute option, the parking may be underutilized and the commercial space may struggle to find tenants. If the area's car-dependent character persists, the parking could be a leasing edge and the commercial space could capture local demand that other projects overlook.

For now, the permit filing tells the market that one developer is willing to commit significant

capital to parking and commercial space in a transit-adjacent location. That is not a contrarian bet. It is a specific underwriting judgment about what the tenant in this block of Flushing will actually need. The market will test that judgment when the building delivers and the leasing begins.